budgets and timelines, in a manner that develops a robust domestic industrial base.

Priority 2. Implement an Industrial Policy

As with the quest for security, India has been on the quest for prosperity since Independence. Initially, attempts were made to stimulate growth and development through state planning and foreign assistance. Although India became more agriculturally self-sufficient, its economy reified in the 1970s and 1980s. The early 1990s opened the door to the prospect of liberalization, encouraging market forces at home and investment from abroad. The blueprint for economic growth became one of liberalization, free trade, and market economics, even if in actuality there remained political resistance in many quarters. The 2008–09 financial crisis and the triple crises of Covid-19, China, and Ukraine in 2020–22 have now led to a rethink. The objective of liberalization to stimulate growth and development now had to be balanced with national security, supply chain concerns, and competing industrial policies. The world is no longer flat, if ever it was.

For India, there is an added consideration. India's growth after 1991 was driven by services (rather than manufacturing and agriculture) and consumption (rather than investments and exports). Not only did this result in supply chain vulnerabilities, but it also contributed less to employment, particularly as India's agricultural sector began to become more efficient. Stimulating manufacturing at home could partly solve several challenges for India, including narrowing its persistent current account deficits, strengthening its corporate sector, improving resilience, and increasing employment.

An industrial policy has therefore become critical. This necessity has been reflected in the slogan of 'Make in India'. But translating 'Make in India' into a real industrial policy has required a series of steps, and a focus on key sectors. After the pandemic, the contours of an actual industrial policy in India began to be reflected in large-scale government subsidies (including production linked incentives, or PLI); massive infrastructure